# THE MONTGOMERY REVOCABLE LIVING TRUST AGREEMENT

*A Joint Revocable Inter Vivos Trust for Multi-State Probate Avoidance & Blended Family Protection*

THIS REVOCABLE LIVING TRUST AGREEMENT (the "Trust Agreement") is made and entered into this 12th day of November, 2026, by and between RICHARD STERLING MONTGOMERY and ELEANOR VANCE MONTGOMERY, spouses residing in Houston, Harris County, State of Texas (hereinafter collectively referred to as the "Grantors" and individually as a "Grantor"), and RICHARD STERLING MONTGOMERY and ELEANOR VANCE MONTGOMERY as Initial Co-Trustees (hereinafter collectively referred to with any successor trustee(s) as the "Trustee").

## Article I: TRUST NAME, FAMILY DECLARATIONS, AND TRUST FUNDING

**Section 1.01 Name of Trust.** This trust shall be known as "THE MONTGOMERY REVOCABLE LIVING TRUST, dated November 12, 2026" and may be referred to as such in all deeds, financial account titles, beneficiary designations, and legal instruments.

**Section 1.02 Blended Family & Children Declarations.** Grantors are lawfully married. Grantor 1 (Richard Sterling Montgomery) has 1 child from a prior marriage, namely: Harrison Montgomery (DOB: 06/14/2005). Grantor 2 (Eleanor Vance Montgomery) has 1 child from a prior marriage, namely: Beatrice Vance (DOB: 09/22/2008). Together, Grantors have 1 joint child of this marriage, namely: Ethan Montgomery (DOB: 11/05/2015), who is a beneficiary with special needs.

**Section 1.03 Initial Funding & Multi-State Real Property.** Grantors hereby assign, convey, transfer, and deliver to the Trustee all property listed on Schedule A (Joint/Community Property), Schedule B (Separate Property of Grantor 1), and Schedule C (Separate Property of Grantor 2) attached hereto, including the primary residence located in Texas and the vacation real property located in New Mexico, to be held, administered, and distributed in accordance with the terms of this Agreement so as to avoid both domiciliary and ancillary probate.

## Article II: ADMINISTRATION DURING JOINT LIFETIMES & RESERVATION OF RIGHTS

**Section 2.01 Distributions During Joint Lifetimes.** During the joint lifetimes of the Grantors, the Trustee shall distribute to or for the benefit of the Grantors so much of the net income and principal of the community/joint trust estate as either Grantor may direct, or as the Trustee deems necessary for the Grantors' health, education, maintenance, and support ("HEMS") in their accustomed standard of living.

**Section 2.02 Right to Amend or Revoke.** While both Grantors are living and have legal capacity, this Trust may be amended, modified, or restated only by a signed written instrument executed by both Grantors and delivered to the Trustee. Either Grantor may unilaterally revoke

this Trust as to their respective community/joint one-half share or separate property upon written notice to the other Grantor and the Trustee.

**Section 2.03 Incapacity of a Grantor.** A Grantor shall be deemed incapacitated upon (a) written certification by two licensed physicians (one of whom is the Grantor's attending physician) that the Grantor is unable to effectively manage their financial affairs, or (b) a court determination of incapacity. During any period of incapacity of one Grantor, the other Grantor shall serve as sole Trustee.

## Article III: DIVISION INTO SUB-TRUSTS UPON DEATH OF FIRST GRANTOR (A-B-C / QTIP STRUCTURE)

**Section 3.01 Mandatory Division at First Death.** Upon the death of the first Grantor to die (the "Deceased Grantor"), the surviving Grantor (the "Surviving Grantor") shall have NO power to amend, revoke, or alter the disposition of the Deceased Grantor's share of the Trust Estate. The Trustee shall divide the Trust Estate (including any assets received via the Deceased Grantor's Pour-Over Will or beneficiary designations) into three separate trusts:

**Section 3.02 The Survivor's Trust (Trust A - Revocable).** The Survivor's Trust shall consist of the Surviving Grantor's one-half (1/2) interest in the joint/community estate and all of the Surviving Grantor's separate property (Schedule B or C). The Survivor's Trust shall remain revocable and amendable by the Surviving Grantor during their lifetime.

**Section 3.03 The Credit Shelter / Family Bypass Trust (Trust B - Irrevocable).** If applicable for estate tax or blended family protection, the Bypass Trust shall hold an amount of the Deceased Grantor's share designated in the Sub-Trust Addendum. Trust B is irrevocable upon the first death.

**Section 3.04 The Marital QTIP Trust (Trust C - Irrevocable Blended Family Lock).** The balance of the Deceased Grantor's share shall be allocated to the Qualified Terminable Interest Property ("QTIP") Marital Trust under IRC § 2056(b)(7), administered under the QTIP Addendum. The Surviving Grantor shall receive all net income at least annually for life, but shall have NO power to divert principal to a new spouse or disinherit the Deceased Grantor's biological children.

## Article IV: DISTRIBUTION UPON DEATH OF SURVIVING GRANTOR

**Section 4.01 Allocation Among Descendants & Special Needs Sub-Trust.** Upon the death of the Surviving Grantor, the remaining balance of the Marital QTIP Trust (and Bypass Trust) shall pass strictly as directed by the Deceased Grantor's schedule of remainder beneficiaries, and the Survivor's Trust shall pass as directed by the Surviving Grantor:
(a) 60% to the Staggered Distribution Children's Sub-Trusts (administered with HEMS guardrails and age 25/30/35 principal releases);
(b) 40% to the Third-Party Supplemental / Special Needs Trust for the benefit of Ethan Montgomery, so as not to disqualify said beneficiary from Medicaid or SSI.

**Section 4.02 Specific Gift. Grantor 1’s Vanguard account x3302 shall pass to Diane Whitaker Montgomery, spouse of Grantor 1.**

## Article V: TRUSTEE SUCCESSION, POWERS, AND SPENDTHRIFT PROTECTION

**Section 5.01 Nomination of Successor Trustees.** Upon the death, resignation, or incapacity of both Initial Co-Trustees, the following shall serve as Successor Trustee in the order named:
1. First Successor Trustee: Julian M. Montgomery, Austin, TX
2. Second Successor Trustee: Clara Vance, Houston, TX
3. Corporate / Independent Fiduciary Backup: Texas Capital Trust Company

**Section 5.02 Spendthrift Clause.** No interest of any beneficiary in the income or principal of any trust created hereunder shall be subject to anticipation, assignment, pledge, sale, or transfer in any manner, nor shall any beneficiary's interest be liable for or subject to the debts, contracts, liabilities, engagements, torts, lawsuits, bankruptcy, or marital dissolution/alimony claims of any beneficiary or their spouse.

**Section 5.03 Governing Law.** The validity, construction, and administration of this Trust shall be governed by the laws of the State of Texas.

IN WITNESS WHEREOF, the Grantors and Initial Co-Trustees have executed this Revocable Living Trust Agreement as of the day and year first written above.

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**RICHARD STERLING MONTGOMERY, Grantor & Co-Trustee**

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**ELEANOR VANCE MONTGOMERY, Grantor & Co-Trustee**

## NOTARY ACKNOWLEDGMENT

STATE OF TEXAS
COUNTY OF HARRIS

Before me, the undersigned authority, on this day personally appeared RICHARD STERLING MONTGOMERY and ELEANOR VANCE MONTGOMERY, known to me to be the persons whose names are subscribed to the foregoing instrument, and acknowledged to me that they executed the same for the purposes and consideration therein expressed.

Given under my hand and seal of office this 12th day of November, 2026.

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Notary Public, State of Texas
My Commission Expires: 10/15/2029

## Schedule A, B & C: TRUST ASSET INVENTORY & MULTI-STATE PROPERTY SCHEDULES

| Schedule | Asset / Real Property Description | Jurisdiction / Account # / Value |
|---|---|---|
| Schedule A (Joint) | Primary Residence: 1042 River Oaks Blvd, Houston, TX 77019 | Harris County, TX - $2,450,000 |
| Schedule A (Joint) | Out-of-State Vacation Property: 405 Ski Run Rd, Taos, NM 87571 | Taos County, NM - $850,000 |
| Schedule A (Joint) | Joint Non-Qualified Brokerage Account (Austin Capital) | Acct # x8841 - $1,200,000 |
| Schedule B (Richard) | Separate Pre-Marital Brokerage Account (Vanguard) | Acct # x3302 - $650,000 |
| Schedule C (Eleanor) | Separate Pre-Marital Investment Account (Fidelity) | Acct # x9104 - $500,000 |